Disclosure Regulation, Stock Liquidity, and International Policy Diffusion

26 October 2026

Abstract

We study stock-market liquidity around disclosure regulation and the international adoption of these requirements. Our data cover 90 jurisdictions during 2000–2025. Public disclosures form the main analysis; confidential tax reporting is examined separately. Following-year estimates imply 2.2% and 4.5% lower spreads under equal and market-cap family weights, but both confidence intervals include zero. The other liquidity measures and pre-policy patterns do not establish a common causal improvement. Adoption is positively associated with prior language-peer adoption under common year controls; this association changes when we account for family-specific international waves. The study compares disclosure requirements using consistent outcomes, comparison rules and weighting.

Keywords: disclosure regulation; stock liquidity; international reporting; policy diffusion.

Research working paper

I INTRODUCTION AND RELATED RESEARCH

Disclosure rules aim to improve the information available to investors. Better information can make companies easier to compare and reduce the cost of trading. We ask whether these benefits extend across different disclosure requirements, and how the requirements spread internationally. The paper has two parts: liquidity around implementation, followed by international policy adoption.

The link between disclosure and liquidity is well established. Diamond and Verrecchia (1991) explain how public information affects information asymmetry and investor participation. Early studies document associations between disclosure and trading outcomes (Welker 1995; Healy et al. 1999; Leuz and Verrecchia 2000). Reviews emphasize that mandated reports, voluntary disclosure and information intermediaries jointly shape the information available to investors (Healy and Palepu 2001; Beyer et al. 2010; Leuz and Wysocki 2016). A new rule can therefore add information, reduce the cost of obtaining it, or repeat what investors already know.

International evidence shows that the setting matters. IFRS studies relate liquidity benefits to reporting incentives and enforcement (Daske et al. 2008; Christensen et al. 2013). Securities-law studies distinguish the rule itself from implementation, liability and enforcement (Christensen et al. 2016; La Porta et al. 2006; Bhattacharya and Daouk 2002). In nonfinancial reporting, Krueger et al. (2024) examine mandatory E, S and G disclosure globally, while Christensen et al. (2021) review its wider economic consequences. Processing costs and limited new information can also constrain the benefits of public reports (Blankespoor et al. 2020, 2014; Lennox et al. 2023).

The audience for disclosure is another important distinction. Confidential tax reports can change company decisions through tax enforcement, while public reports also reach investors (De Simone and Olbert 2022; Müller et al. 2024; Nessa et al. 2025). Payments-to-government requirements target corporate conduct as well as information provision (Rauter 2020). We therefore make public disclosure the main liquidity analysis and examine confidential reporting separately.

Our contribution is a common comparison across a broader set of documented disclosure families. Existing studies establish effects for particular reforms; we ask how the average changes

when different requirements are evaluated using the same liquidity measures, comparison rules and weights. The data cover ten identified public-disclosure families, rather than every disclosure obligation ever enacted. Eight families support following-year comparisons and six support years 1–3.

Spread estimates are negative under both weighting schemes. The following-year estimates imply approximately 2.2% lower spreads under equal family weights and 4.5% under market-cap weights, although both intervals include zero. Other outcomes and pre-policy differences limit a general causal interpretation. We then examine competition, learning, emulation and external finance as explanations for adoption, following Simmons and Elkins (2004); Simmons et al. (2006); Koning et al. (2018). The strongest common-year language-peer association changes when family-specific adoption waves are absorbed.

II INSTITUTIONAL SETTING AND PREDICTIONS

The public-disclosure sample covers financial reporting, auditor reporting, nonfinancial and climate reporting, public country reports, payments to governments, supply-chain reporting, sustainability reporting and electronic financial reporting. National implementations and later phases can differ within a family. Broader governance, audit-institution, ownership-register and digital-asset categories remain in the wider 17-family analysis because they do not consistently identify a new public reporting obligation for the sampled listed companies. Table 2 reports the inventory and estimation coverage.

Confidential country-by-country reports are filed with tax authorities and can be exchanged between them. Public bank and multinational country reports instead make specified jurisdictional information publicly available. Both can matter for capital markets, but through different channels. Comparisons across these families also reflect differences in coverage, countries and timing, so they do not isolate the effect of publication alone.

Timing is equally important. Announcement, legal application, the first covered financial period, the filing deadline and actual publication can fall in different years. For UK extended

audit reporting, we use the 2013 information-policy year and retain the 2012 covered-period start. The broader nonfinancial calendar often records later phases than the supplied comprehensive E, S and G calendar; a separate benchmark uses that calendar through 2020. The global register does not contain actual filing dates for every company. Flagged 2025 reporting changes in the US and Germany are censored where relevant, rather than recoded as nonadoption.

Useful public information should reduce trading frictions. Benefits may be smaller when reports duplicate existing information, are costly to process, or are weakly enforced. We examine prior liquidity, regulatory quality, financial development, income and openness as possible sources of variation. These country characteristics are proxies: regulatory quality does not measure enforcement of a particular rule, and prior illiquidity can also capture mean reversion.

III DATA AND EMPIRICAL DESIGN

Sample and outcomes

Datastream provides 1,055,142 stock-year observations for 99,100 vendor company records in 90 jurisdictions during 2000–2025. All three liquidity measures are jointly available for 636,960 stock-years in 86 jurisdictions (Table 1). For each implementation cohort, we select the company's largest positive-market-value share line in the preceding year and keep the company, share line and country fixed throughout the comparison window. Country averages require at least 30 companies with complete outcomes. Complete future observations select the sample, and the resulting country exposure is not verified legal coverage of every issuer.

The wider source register contains 482 documented country-family phase histories. Controls must have a documented implementation date after the outcome window. Unknown histories are missing, not nonadoption; already-treated countries are excluded. The register is not a complete history of earliest laws and nonadoption, which narrows the comparison sample. Country data provide GDP, income, growth, trade, regulatory quality and market capitalisation relative to GDP. Missing values are not replaced by zeros, and macroeconomic series are contemporary revisions rather than historical information vintages.

We use three measures of illiquidity: log quoted spread, log price impact and the share of observed daily returns equal to zero. Spread is the annual median relative quoted bid-ask spread. Price impact is the annual median absolute daily return divided by dollar volume, adapting Amihud (2002); the median differs from the original annual mean. Zero-return share captures infrequent price changes rather than the structural transaction-cost measure of Lesmond et al. (1999). Annual measures apply valid-day thresholds, including 120 valid observations for the relevant daily measure. Log spread and impact are winsorised within year at the first and ninety-ninth percentiles. Lower values indicate greater liquidity, although the measures capture different trading frictions.

Liquidity comparisons and weights

For family f and implementation cohort g, we estimate

$$\Delta L_{cfg} = \alpha_{fg} + \beta_{fg}\,\text{Treat}_{cg} + \varepsilon_{cfg}, \tag{1}$$

where ΔL_{cfg} is the change in country c's fixed-company mean from year $g-1$ to $g+1$. Treatment equals one when the recorded phase begins in g; comparison countries implement after $g+1$. A longer-window estimate uses the mean of years $g+1$ through $g+3$, with controls remaining untreated throughout.

Country regressions use positive prior-year GDP weights. Within each family, cohort coefficients are weighted by the GDP of supported adopting countries. Across families, equal weights describe the typical supported family; market-cap weights emphasize larger sampled adopting-company exposures, measured in $g-1$. A company can enter several families, so this is not a portfolio of distinct world companies. Both weighting schemes use the same family estimates.

Separating cohort comparisons from aggregation follows the logic of Callaway and Sant'Anna (2021) and avoids comparisons with already-treated countries (Goodman-Bacon 2021; Sun and Abraham 2021). This country-cohort WLS adaptation still requires credible counterfactual trends; it does not resolve endogenous adoption or overlapping reforms (Baker

et al. 2022; Roth et al. 2023). Country influence contributions are combined across cohorts and families before calculating uncertainty. Inference is conditional on recorded dates, sample membership and, where applicable, selected matches; coordinated adoption and legal-date error remain concerns.

Controls add prior income, GDP growth and trade/GDP on identical samples. Cross sections interact treatment with a prior country characteristic, retaining its main effect and standardising it within cohort. These fits require two adopting and six comparison countries, full rank and three residual degrees of freedom. Matching selects three nearest documented controls per adopter using prior income, trade and all three liquidity levels; controls can be reused. The event analysis holds companies fixed from three years before to three years after implementation.

These extensions were specified after earlier results were known. We retain the wider 17-family analysis and its 1,296-specification grid. Holm (1979) adjustments cover 12 primary liquidity coefficients, 108 additional WLS and audience coefficients, and 64 within-country diffusion coefficient attempts. Adjustment addresses multiple testing, not model misspecification or retrospective design choices.

IV LIQUIDITY RESULTS

The overall comparison

Table 3 reports following-year log-spread estimates of -0.022 under equal family weights and -0.047 under market-cap weights: approximately 2.2% and 4.5% lower spreads. Both confidence intervals include zero. Longer-window estimates are -0.075 and -0.084, but cover six families rather than eight and cannot be interpreted as the time path of the same sample. Price-impact estimates vary with the weight and horizon; several zero-return estimates are negative. None of the 12 primary coefficients survives the stated multiple-test adjustment.

Family results show what enters the average (Table 4 and Figure 1). Nonfinancial reporting has a log-spread estimate of about -0.065 across 22 adopting jurisdictions, or roughly 6% lower spreads. Other family estimates differ in direction and precision. Because their countries and

implementation cohorts differ, these comparisons reflect both policy design and the settings in which adoption occurs.

Confidential tax reporting changes the composition and meaning of the pooled estimate. Table 3 therefore shows the combined public-and-confidential pool alongside the public pool. Appendix Table A2 reports the audience groups and a formal contrast accounting for shared country influence. The equal-family public-minus-confidential spread contrast is -0.121; it does not survive the extension-wide adjustment and cannot isolate the causal effect of making the same information public.

Controls, cross sections and dynamics

On the five-family control-eligible sample, the equal-family spread estimate changes from -0.063 without controls to -0.040 with controls (Appendix Table A1). Appendix Tables A3–A6 examine prior liquidity, regulatory quality, financial development, income and openness. Each spread interaction rests on only two supported public families, and none survives the 108-test correction. This limited support prevents a general conclusion about where disclosure improves liquidity most.

For the four-family matching sample, the equal-family spread estimate is -0.073 before matching and -0.126 after matching (Appendix Table A7). The matched interval includes zero and material covariate imbalance remains. The more negative coefficient therefore does not establish a better counterfactual. Matching uncertainty is conditional on the chosen controls.

Appendix Table A8 and Figure 2 show five families on a fixed seven-year company sample, with year -1 as the reference. Spread differences are already visible before implementation. Anticipation, endogenous policy timing or other market changes can therefore contribute to the later decline. Pre-policy tests diagnose this problem but do not establish acceptable counterfactual trends (Rambachan and Roth 2023). The spread point estimates consistently point downward across the two main weights and horizons; the broader evidence does not yet establish a common causal liquidity improvement.

Stacked comparisons and collective effects

We also adapt the stacked design of Krueger et al. (2024), using country-by-cohort and year-by-cohort effects. With GDP country weights, three pre-policy years and years 1–3 after adoption, the direct stacked spread coefficients are -0.223 and -0.206 under equal and market-cap family mass. Both reject the pre-policy lead test. Covariance-weighted pooling gives a more precise estimate of -0.238, but assigns 59.6% to climate disclosure supported by one adopting country. Requiring five adopters per family leaves two families and imprecise negative estimates. Extended Appendix Tables E4–E5 and the accompanying HTML retain the full 5,184-specification grid and 576 adoption-support diagnostics. These results support investigating lower spreads, but the weighting and pre-policy patterns prevent a general causal conclusion.

V INTERNATIONAL POLICY DIFFUSION

Adoption and foreign signals

The second part follows Koning et al. (2018) in examining competition, learning, emulation and external finance. We distinguish whether a documented policy is in place from first adoption while the country remains at risk. The outcomes describe an established regime and a transition, respectively.

Competition uses lagged adoption among five countries with similar export-market patterns, with the main network fixed using 2000 trade data. Learning compares lagged GDP growth among ten geographic peers with documented histories. The indicator is zero when none has adopted; with partial adoption it compares adopter and nonadopter medians; with full adoption it compares adopter growth with the focal country's growth. Language-peer adoption proxies for emulation. External finance combines aid and IMF credit relative to GDP. Unknown peer histories are not coded as nonadoption. Language proximity differs from the cultural-distance measure in the JIBS paper, and lagged foreign signals can still reflect shared shocks or common legal obligations.

Results

Appendix Table A9 records the reference-style logit models with family and year effects. The joint public-sample model has no usable observations after common-sample and outcome-variation restrictions. Separate models have insufficient country support or unstable fits. These are estimation limitations, not estimates of zero diffusion.

Table 5 and Appendix Table A10 use weighted linear probability models with country-family effects, which remove persistent differences in national policy regimes. We compare common year effects with family-year effects that absorb international waves specific to each disclosure family. Both weights use identical observations within each comparison. The family-wave sensitivity was added after initial within-country results were seen; all 64 coefficient attempts remain in the adjustment.

With common year effects, a ten-percentage-point increase in prior language-peer adoption is associated with a 6.6-point higher probability that a policy is in place under equal family weights. The estimate covers 45 countries and eight families and survives the stated adjustment. With family-year effects, it changes to -8.4 points and its adjusted p-value is 0.764. Competition, learning and external finance do not provide consistent adjusted evidence in the separate equal-family status models. First-adoption estimates and both weights remain in the tables.

The language comparison shows why common policy waves matter: countries can adopt together without one learning from or imitating another. The current results describe conditional adoption associations. More complete historical risk sets and stronger separation of coordinated mandates from peer transmission are needed to identify diffusion mechanisms.

VI CONCLUSION

We compare liquidity around different disclosure requirements and then examine their international adoption. Public-disclosure spread estimates are negative under both family weights, but uncertainty, other outcomes and pre-policy differences prevent a general causal conclusion. The positive language-peer adoption association is sensitive to family-specific international waves. The

main contribution is a common comparison across reporting requirements with different audiences and implementation histories. Completing those histories and identifying when covered companies actually release new information are the next steps toward stronger conclusions.

Supporting results are in the Online Appendix. The Extended Appendix retains the broader regulatory comparisons and specification audit.

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Table 1: Sample and liquidity measures

Measure	Stock-years	Mean	SD	P25	Median	P75
Log spread	662,316	-5.0736	1.4361	-6.1280	-5.0468	-3.9797
Log price impact	755,877	1.5158	3.0788	-0.8076	1.6031	3.8053
Zero-return share	795,229	0.1194	0.1529	0.0207	0.0643	0.1623

Datastream security-year inventory: 1,055,142 observations, 99,100 vendor company records and 90 jurisdictions, 2000-2025. All three measures are jointly available for 636,960 stock-years in 86 jurisdictions. Estimation uses fixed company cohorts and smaller documented country comparisons. Higher values indicate less liquidity. Logs and fractions are not percentage changes.

Table 2: Disclosure families and information audiences

Family	**Audience**	**Recorded countries**	**Supported adopters**	**Public-pool cap weight**
Auditor reporting	Public	36	20	22.4%
Public bank country reports	Public	28	14	14.8%
Public multinational country reports	Public	28	-	-
Climate / emissions disclosure	Public	6	2	4.5%
Nonfinancial reporting	Public	37	22	23.9%
Payments to governments	Public	9	1	0.4%
IFRS financial reporting	Public	36	20	12.7%
Supply-chain reporting	Public	8	4	20.8%
Financial-focus sustainability	Public	6	1	0.4%
Electronic financial reporting	Public	4	-	-
Confidential tax country reports	Tax authority	120	42	-

The main pool comprises ten identified public-disclosure families; eight support following-year comparisons and six support years 1-3. Confidential tax reporting is shown separately and enters a combined disclosure sensitivity. Recorded country counts include implemented phases through 2025 across the wider source register, not only countries with market data. Dashes denote unsupported estimates or exclusion from the public-only weight. The calendar is not a census of all historical disclosure laws; broader governance and register categories remain in the 17-family appendix.

Table 3: Does disclosure regulation generally change liquidity?

Outcome and coefficient	**Families**	**Equal family Coefficient (SE), q**	**Market-cap family Coefficient (SE), q**
Public disclosures	8	-0.022	-0.047
Year 1: Log spread		(0.034)	(0.035)
		q=1.000	q=1.000
Public disclosures	8	+0.031	-0.035
Year 1: Log price impact		(0.044)	(0.060)
		q=1.000	q=1.000
Public disclosures	8	-0.0061	-0.0026
Year 1: Zero-return share		(0.0025)	(0.0039)
		q=0.161	q=1.000
Public disclosures	6	-0.075	-0.084
Years 1-3: Log spread		(0.039)	(0.052)
		q=0.378	q=0.590
Public disclosures	6	+0.061	-0.040
Years 1-3: Log price impact		(0.042)	(0.048)
		q=1.000	q=1.000
Public disclosures	6	-0.0050	-0.0071
Years 1-3: Zero-return share		(0.0025)	(0.0034)
		q=0.378	q=0.345
Public + confidential	9	-0.009	+0.016
Year 1: Log spread		(0.032)	(0.041)
Public + confidential	9	+0.021	-0.045
Year 1: Log price impact		(0.048)	(0.098)
Public + confidential	9	-0.0044	+0.0025
Year 1: Zero-return share		(0.0027)	(0.0057)
Public + confidential	7	-0.031	+0.086
Years 1-3: Log spread		(0.046)	(0.113)
Public + confidential	7	+0.092	+0.126
Years 1-3: Log price impact		(0.059)	(0.140)
Public + confidential	7	-0.0043	-0.0034
Years 1-3: Zero-return share		(0.0032)	(0.0086)

Primary pool: public disclosures. Secondary pool: public plus confidential disclosures. Country-cohort comparisons exclude already-treated countries and unknown policy histories. Baseline is year -1; outcomes are year 1 or the mean of years 1-3. Parentheses are conditional country standard errors. Public-pool q values adjust over its 12 principal tests; the separate 36-cell scope correction is in the accompanying data. Cohort and family weights are positive and normalised. A common average is a specified weighted target, not a claim that each law has the same effect.

Table 4: Liquidity estimates by public-disclosure family

Family	**Adopting countries**	**Log spread Coefficient (SE)**	**Log price impact Coefficient (SE)**	**Zero-return share Coefficient (SE)**
Auditor reporting	20	-0.0624 (0.0568)	+0.0585 (0.0830)	-0.0131 (0.0066)
Public bank country reports	14	-0.1163 (0.1930)	+0.1570 (0.2201)	-0.0098 (0.0054)
Climate / emissions disclosure	2	+0.0856 (0.1228)	-0.0167 (0.0806)	-0.0074 (0.0071)
Nonfinancial reporting	22	-0.0647 (0.0293)	+0.0331 (0.0944)	+0.0305 (0.0118)
Payments to governments	1	+0.1822 (0.0094)	+0.5297 (0.0053)	-0.0164 (0.0012)
IFRS financial reporting	20	-0.0570 (0.1164)	+0.1201 (0.3486)	-0.0235 (0.0115)
Supply-chain reporting	4	+0.0170 (0.0418)	-0.4576 (0.0620)	-0.0102 (0.0061)
Financial-focus sustainability	1	-0.1603 (0.1389)	-0.1743 (0.1496)	+0.0011 (0.0060)

All eight supported public-disclosure families are reported, including positive and negative estimates. GDP weights within each family. Estimates compare year 1 with year -1, using fixed company cohorts. Country-influence uncertainty is conditional on legal histories and does not capture common supranational assignment. These are family estimates underlying the primary pool, not eight independent confirmations.

Table 5: Policy diffusion: within-country adoption status

Model / sample	**Country-family + year Equal**	**Country-family + year Market-cap**	**Country-family + family-year Equal**	**Country-family + family-year Market-cap**
Separate: Competition	+0.025	+0.041	-0.035	-0.044
N=1,324; C=45; F=5	(0.013)	(0.010)	(0.017)	(0.019)
	q=1.000	q=0.016	q=1.000	q=1.000
Separate: Learning	+0.068	+0.074	-0.016	-0.007
N=2,330; C=60; F=4	(0.042)	(0.043)	(0.035)	(0.037)
	q=1.000	q=1.000	q=1.000	q=1.000
Separate: Emulation	+0.066	+0.077	-0.084	-0.044
N=2,150; C=45; F=8	(0.012)	(0.011)	(0.033)	(0.044)
	q<0.001	q<0.001	q=0.764	q=1.000
Separate: External finance	+0.006	-0.002	+3.42e-04	+2.35e-04
N=1,410; C=38; F=6	(0.005)	(0.008)	(0.002)	(0.005)
	q=1.000	q=1.000	q=1.000	q=1.000
Joint: Competition	Not estimated	Not estimated	Not estimated	Not estimated
N=432; C=18; F=1				
Joint: Learning	Not estimated	Not estimated	Not estimated	Not estimated
N=432; C=18; F=1				
Joint: Emulation	Not estimated	Not estimated	Not estimated	Not estimated
N=432; C=18; F=1				
Joint: External finance	Not estimated	Not estimated	Not estimated	Not estimated
N=432; C=18; F=1				

Weighted linear probability models. N denotes country-family-year rows; C countries; F families. Cells show coefficient, country-clustered SE and q across all 64 planned coefficient attempts. Predictor units match Appendix Table A9. The outcome is whether the policy is in place (Table 5) or first adoption while still at risk (Appendix Table A10). Country-family effects remove persistent national policy-family differences; family-year effects additionally absorb common family adoption waves. Adding family-year effects was declared after initial within-year results were seen; both designs and every coefficient are retained. LPM coefficients are probability-point associations and can imply out-of-range fitted probabilities. They are not odds ratios or causal peer effects.

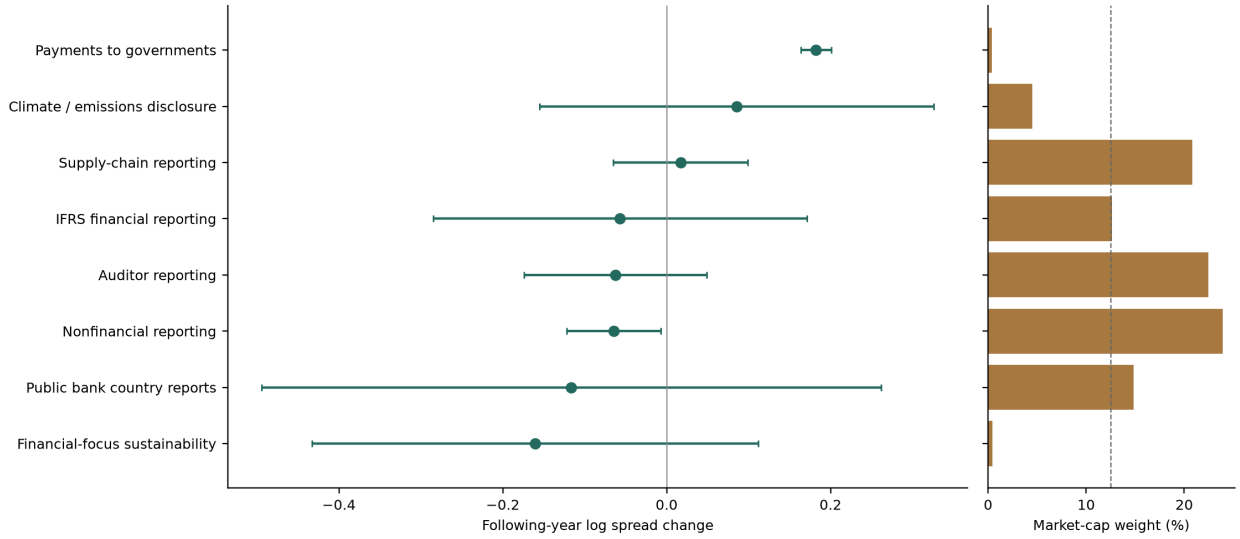


Figure 1: Public-disclosure family estimates and weights

Following-year GDP-weighted country comparisons. All eight supported families are shown. Bars are 95% normal-reference conditional country intervals. Right panel: sampled pre-policy market-cap masses, normalised across these families; dashed line is equal family weight. Each family has its own supported countries and cohorts.

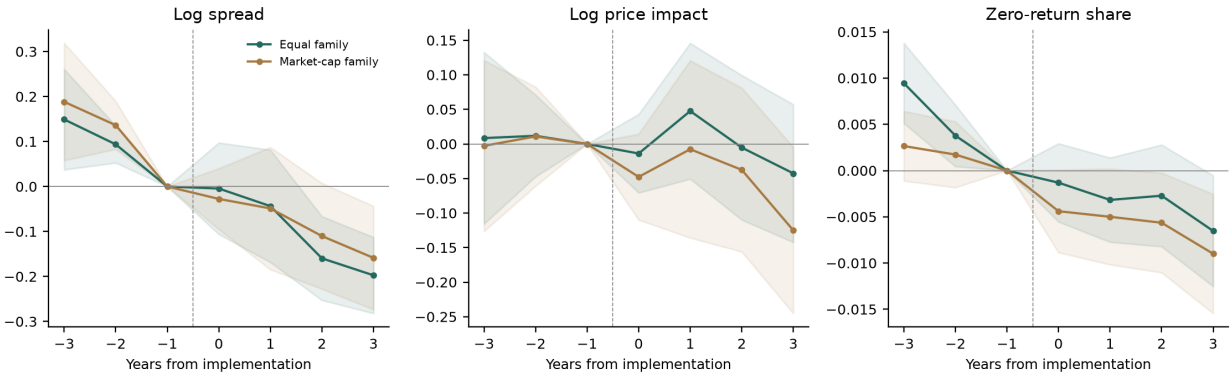


Figure 2: Public-disclosure liquidity before and after implementation

Five public-disclosure families on fixed company support in years -3 through +3. Year -1 is the reference. Pointwise 95% conditional country intervals are shaded. The sample differs from the eight-family short window and six-family longer-window main samples. Pre-policy differences and common legal waves limit a causal interpretation.

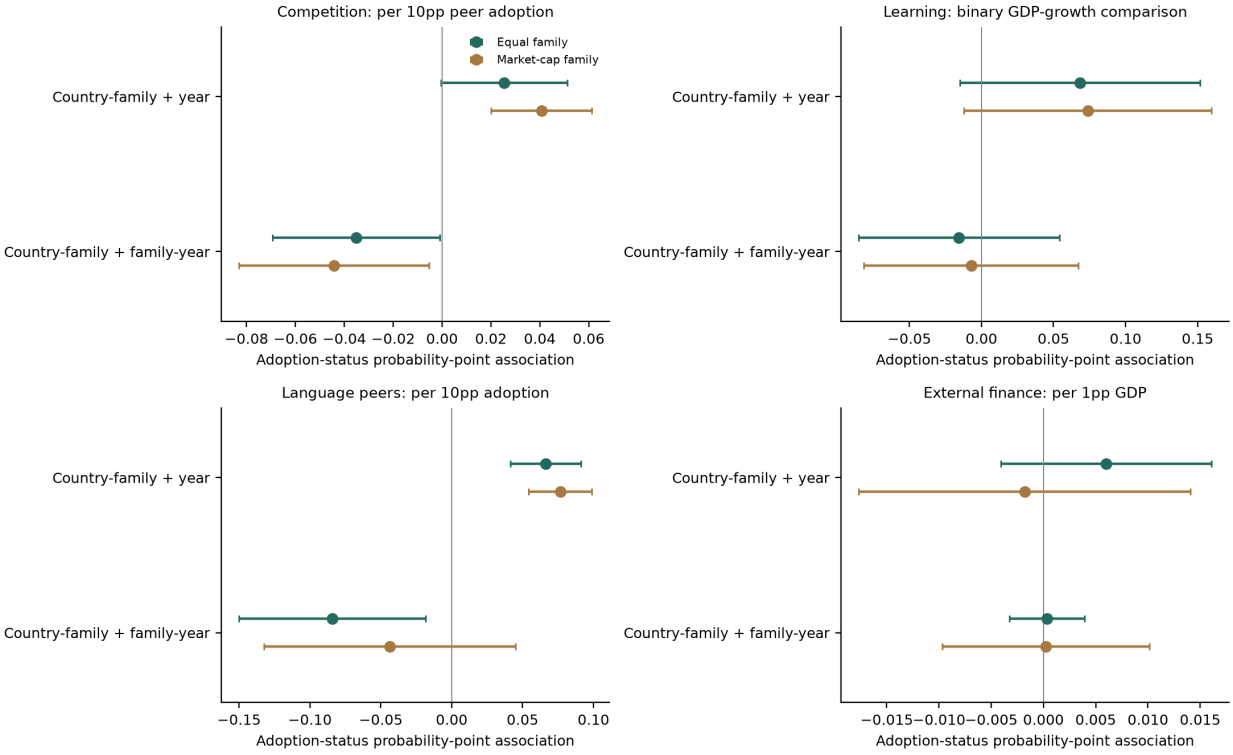


Figure 3: Diffusion associations and common policy waves

Separate adoption-status linear probability models under both family weights. Compare country-family plus common year effects with country-family plus family-year effects on identical rows. Horizontal intervals are 95% country-clustered t intervals. Predictor units differ by panel and are stated in each heading. A change across fixed-effect structures is not evidence that either coefficient is causal.